



Godaddy Inc (GDDY) — Research Summary

Technology | Software - Infrastructure | 2026-10-08

Price: \$103.19

Signal: BUY (7.56/10)

Market: bull_tech

Equity Research Summary: GoDaddy Inc. (GDDY)

Rating: BUY (7.56/10) | **Price:** \$103.19 | **Market Cap:** \$12.3B

1. COMPANY OVERVIEW & INVESTMENT THESIS

GoDaddy is the world's largest domain name registrar, providing web hosting, website-building tools, and online presence services to small businesses and entrepreneurs. The stock is particularly interesting right now because it has become a potential takeover target—cybersecurity firm Gen Digital made an early acquisition approach in late September 2026—while the company continues to post consistent earnings beats and trades at a notably cheap forward valuation.

2. FUNDAMENTAL SNAPSHOT

Valuation: GoDaddy looks inexpensive. It trades at a trailing P/E of 14.5 and a strikingly low forward P/E of 8.7, suggesting the market expects strong earnings growth ahead. The EV/EBITDA ratio sits near 10.6x (\$14.9B EV / \$1.4B EBITDA), and price-to-free-cash-flow is reasonable. These multiples are below typical software-infrastructure peers, which often trade at premium valuations.

Earnings Trend: The track record is strong—three consecutive beats in the last four quarters, including a +13.9% surprise in December 2025, with only one miss (September 2025). Recent quarters (Q1 2026: \$1.60 vs. \$1.52; Q2 2026: \$1.83 vs. \$1.72) show steady outperformance versus expectations.

Revenue & Margins: Growth is the soft spot. Revenue rose just +1.9% year-over-year in the latest quarter (to \$1.3B) and was essentially flat (+0.1%) the quarter before. However, profitability is healthy and improving: gross margin of 63.8%, operating margin climbing to 27.1%, and a net profit margin of 17.8%.

Balance Sheet: GoDaddy carries net debt (~\$3.8B total debt against \$1.2B cash). Equity is near zero due to aggressive share buybacks (~\$0.5B recently), which inflates ratios like D/E but reflects shareholder-friendly capital returns rather than distress. Free cash flow remains solid at ~\$0.4B for the quarter.

3. TECHNICAL OUTLOOK

At \$103.19, GoDaddy sits in the middle of its wide 52-week range of \$71.59–\$137.93. The stock has recovered meaningfully off its lows, climbing ~19.7% over six months and tracking the broader market higher.

Momentum is building, driven largely by takeover speculation—shares jumped 4.6% on September 25 and rose again on acquisition news. However, the stock "failed to break out" cleanly after the reported offer, suggesting some hesitation.

Key levels to watch: Support rests near recent lows around \$71–\$75; nearer-term support sits around the \$95–\$100 zone. Resistance looms at the 52-week high near \$138, with the analyst target of \$107 acting as a meaningful intermediate ceiling.

4. NEWS & SENTIMENT

Overall Sentiment: Slightly Bullish

Key themes:

- **Takeover speculation dominates.** Gen Digital (maker of Norton) made a preliminary acquisition approach. Analysts at RBC called a potential deal "transformational," pairing cybersecurity with GoDaddy's large domain and hosting base. Notably, Gen Digital's own stock *fell* 12% on the news—markets worried about the price Gen might pay, which is often a positive sign for the target.
- **Product innovation in AI.** GoDaddy launched web app hosting with an API designed for AI coding tools, positioning itself to capture demand from the growing developer and AI-builder market.
- **Steady execution.** Consistent earnings beats reinforce the picture of a stable, cash-generating business.

Market narrative: The story is a classic "cheap, steady cash cow that could be acquired." Investors are weighing modest organic growth against an attractive valuation and real M&A optionality.

5. BOTTOM LINE

- **Aerondight Systems Signal: BUY (7.56/10)**
- **Thesis:** A profitable, cash-generating market leader trading at a bargain forward valuation, with meaningful upside optionality from a live acquisition approach.
- **Upcoming Catalyst:** Developments in the Gen Digital takeover situation (confirmation, a firm bid, or walk-away) and the next quarterly earnings report.
- **Risk Level: Medium** — The valuation is attractive and the business is stable, but slow revenue growth, a leveraged balance sheet, and deal uncertainty (a collapse in takeover talks could pressure the stock) temper the outlook.

For public distribution. Based on publicly available information. Not individualized investment advice.

Generated by Aerondight Systems Quantitative Research Platform. This summary is for informational purposes only and does not constitute investment advice.